

YELLOW METAL THUNDER

1 FROM JEWELLERY TO CULTURAL USE, GOLD PLAYS A CENTRAL PART IN WEDDINGS, FESTIVALS, AND TRADITIONS ACROSS INDIA AND THE WORLD

2 IN THIS COUNTRY, IN PARTICULAR, GOLD HAS ALWAYS BEEN APPRECIATED AS A STORE OF VALUE

3 ADD TO THAT ITS INDUSTRIAL AND TECHNOLOGICAL APPLICATIONS—ITS CONDUCTIVITY AND RESISTANCE TO CORROSION—WHICH MAKE IT ESSENTIAL IN ELECTRONICS, AND RELATED FIELDS

4 A MAJOR REASON FOR THE RECENT RALLY IS THE INCREASE IN CENTRAL BANKS' GOLD RESERVES AS THEY LOOK TO NAVIGATE GLOBAL UNCERTAINTIES AND DEFEND THEIR CURRENCIES

5 BUT IF THE GEOPOLITICAL TURBULENCE ENDS, THE RALLY MAY FIZZLE OUT

WHEN THE CARPENTER JAMES MARSHAL CHANCED UPON SOME ROCKS THAT LOOKED LIKE GOLD IN THE AMERICAN RIVER IN CALIFORNIA IN 1848, HE SPARKED WHAT HISTORY REMEMBERS AS THE GOLD RUSH. PEOPLE FROM ACROSS THE WORLD HEADED TO THE STILL SPARSELY POPULATED WESTERN COAST OF THE US, WHERE WHITE SETTLERS HAD JUST RECENTLY USURPED LAND FROM MEXICANS AND NATIVE AMERICANS.

20 | The world has transformed since then. The Bretton Woods system reintroduced the gold peg, anchoring the US dollar to the yellow metal. Richard Nixon brought that system down when he yanked the dollar off the gold peg on August 15, 1971, moving the world firmly into the era of fiat currency. Though some predicted a collapse of gold, the opposite happened, with the metal multiplying 10 times over the next decade amid geopolitical tensions and 1970s oil price shock, which sent inflation above 20% in a large number of oil-importing countries such as the US.

More than five decades later, the script is similar. US President Donald Trump's tariff war, geopolitical tensions, and a slowing global economy have sparked a new gold rush, though nobody is stepping into rivers with pans this time around. Households, investors and central banks are chasing the yellow metal after a record-breaking rally in 2025. On the international spot market, gold traded at \$4,479 per ounce on December 24, 2025, up from \$2,633 on December 26, 2024.

Back home, gold has clocked more than 50 record price highs

in the past year, surging 73% year-to-date to around ₹1.31 lakh per 10 gms on December 19—its strongest rally in India since 1974.

Indian households, known for their love for gold, are estimated to own 34,600 tonnes of the metal. Their hunger for gold has withstood even governmental efforts to curb it, and seems unaffected by gold's record run, as is evident from even a cursory reading of the import data.

Gold's rally, though impressive, is nothing compared to the performance of other precious metals. Silver prices have jumped more than twice that of gold, thanks also to rising demand in new-age industries, from electric vehicles to solar energy equipment and hardware for data centres. Platinum and palladium have joined the party for similar reasons.

For an import-dependent country like India, this frenzy comes at a cost. As more forex gets drained out, imports aren't getting cheaper, with the rupee touching record lows of 91 to the dollar in December.

Consider this, India imported nearly \$58 billion worth of gold in FY25, which was a 27% jump